25STCV26667 25STCV26667

County: los-angeles

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Case Number: 25STCV26667 Hearing Date: July 29, 2026 Dept: 507

Tentative Ruling

Judge Rolf M. Treu,

Department 507

HEARING DATE: July 29,

2026 TRIAL

DATE: Not Set

CASE: Payco Enterprises, Inc. v. Manuel DeJesus Bernal

Flores, et al.

CASE NO.: 25STCV26667

DEMURRER TO, AND MOTION TO STRIKE, FIRST

AMENDED COMPLAINT

MOVING PARTIES: Defendants

Manuel DeJesus Bernal Flores, Benny Juarez, and Bakersfield Retail Systems of

California, LLC

RESPONDING PARTY: Plaintiff Payco Enterprises, Inc.

CASE HISTORY:

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09/11/25: Complaint

filed.

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12/17/25: First Amended Complaint filed.

TENTATIVE RULING:

Defendants' demurrer to the FAC is OVERRULED in part and SUSTAINED in part with 20 days leave to amend. It is overruled as to the second cause of action for breach of fiduciary duty and sustained as to the third, fifth, and sixth causes of action for Violation of California Uniform Trade Secrets Act, Business and Professions Code section 17200, and fraud.

Defendants' motion to strike is GRANTED in part with 20 days leave to amend and DENIED as MOOT in part. The motion to strike the prayer for punitive damages is granted with 20 days leave to amend. The motion to strike is otherwise moot.

Moving Party to give notice.

BACKGROUND

This case involves a business dispute. Plaintiff Payco Enterprises, Inc. alleges it entered into an oral agreement with Defendants Benny Juarez and Bakersfield Retail Systems (BRS) whereby it was agreed that they would work together to generate and onboard merchant services clients. Under the agreement, all new clients would be onboarded by Payco as a Payco client. Payco would cover the cost of the Datacap license, credit card terminals, and would handle all customer service issues with regards to credit card processing. BRS would be responsible for providing Point of Sales (POS) service to Payco's clients through a company known as Focus Pos. Payco and BRS would then split the commissions. Plaintiff alleges that Defendants agreed to act as agents for Plaintiff.

Plaintiff also alleges that Plaintiff Defendant Manuel DeJesus Bernal Flores entered into a written non-disclosure agreement for the purpose of investigating a potential business relationship between the parties. The Contract mandated that any confidential information disclosed to Defendants could not be used for any purpose other than to evaluate a potential business arrangement between the parties.

Plaintiff further alleges that Defendant Juarez entered into a written Memorandum of Understanding with Plaintiff and on behalf of BRS wherein the Parties agreed to a business relationship. By that agreement, BRS specifically agreed to be bound by the Payco Service agreement, the Payco Agent agreement, and the Payco Non-disclosure Agreement.

Plaintiff
alleges that following execution of the Contracts, Plaintiff disclosed to Defendants confidential proprietary information. This confidential information consisted of Plaintiff's customer list, training materials, and business generation methodology.

Plaintiff
alleges that Focus Pos, the company BRS used for providing Point of Sales service to Payco's clients, was acquired by a company named Shift4. Shift4 then announced that for clients not doing credit card processing directly through Shift4, Shift4 would start charging the Point of Sales dealers $100 per month per client. This meant that Shift4 would charge BRS $100 per month for each Payco client that was receiving Point of Sales service through BRS.

Plaintiff
alleges that Juarez represented that no clients would be moved to Shift4, so Payco agreed to reimburse BRS for fifty percent of the monthly $100 per client fee charged to BRS by Shift4.

Plaintiff
alleges that contrary to BRS' representations and agreement, BRS began to redirect Payco clients to Shift4.

Defendants
demur to the second cause of action for breach of fiduciary duty, fourth cause of action for violation of California Uniform Trade Secrets Act, fifth cause of action for Business and Professions Code section 17200, and sixth cause of action for fraud in Plaintiff's First Amended Complaint (FAC).

DISCUSSION:

Demurrer

As an initial matter, Plaintiff alleges the demurrer and motion to strike are untimely. The court has discretion to consider an untimely demurrer as long as the substantial rights of the parties are not affected. (Jackson v. Doe (2011) 192 Cal.App.4th 742, 750.) The appearance of a party at the hearing of a motion and his or her opposition to the motion on the merits is a waiver of any procedural defects or irregularities in a motion. (Carlton v. Quint (2000) 77 Cal.App.4th 690, 697.) As there is an Opposition on the merits, the Court exercises its discretion to consider the demurrer and motion to strike. (CCP § 430.41(a)(4).)

Next, even if the meet and confer is untimely, the Court cannot overrule the demurrer or deny the motion to strike for failure to properly meet and confer.

Second Cause of Action for Breach of Fiduciary Duty

Defendants demur to the second cause of action in the FAC for breach of fiduciary duty, on the grounds that the allegations do not establish the existence of a fiduciary duty.

To state a claim for breach of fiduciary duty a plaintiff must plead “the existence of a fiduciary relationship, its breach, and damage proximately caused by that breach.” (Thomson v. Canyon (2011) 198 Cal.App.4th 594, 604.)

“A fiduciary relationship is ‘ “any relation existing between parties to a transaction wherein one of the parties is in duty bound to act with the utmost good faith for the benefit of the other party.’ ” (Wolf v. Superior Court (2003) 107 Cal.App.4th 25, 29.) It is “ ‘ordinarily synonymous with a “confidential relation.” It is ... founded upon the trust or confidence reposed by one person in the integrity and fidelity of another, and likewise precludes the idea of profit or advantage resulting from the dealings of the parties and the person in whom the confidence is reposed.' " (Rickel v. Schwinn Bicycle Co. (1983) 144 Cal.App.3d 648, 654, italics added.) "'[B]efore a person can be charged with a fiduciary obligation, he must either knowingly undertake to act on behalf and for the benefit of another, or must enter into a relationship which imposes that undertaking as a matter of law.'" (Hasso v. Hapke (2014) 227 Cal.App.4th 107, 140 (quoting Committee on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 221).)

Traditional examples of fiduciary relationships in the commercial context include trustee/beneficiary, directors and majority shareholders of a corporation, business partners, joint adventurers, and agent/principal. (Wolf, supra, 107 Cal.App.4th at 30.)

The FAC alleges that Defendants agreed to act as agents for Plaintiff to generate referrals for, and send all credit card processing business, to Plaintiff. (FAC, ¶¶ 8, 9, 16). It further alleges that Defendants signed a confidentiality agreement which prohibits Defendants from taking advantage of Plaintiffs customer list and pricing information to undermine Plaintiff's customer base. (FAC ¶¶ 10-13.)

Defendants argue this was an arms-length business relationship like in Wolf.

Wolf, a novelist, entered into a written agreement with Disney in which Wolf assigned to Disney the rights to the novel Who Censored Roger Rabbit? and the Roger Rabbit characters. Disney then developed and co-produced a motion picture entitled Who Framed Roger Rabbit based upon Wolf's novel and its characters. (Id., at 28.) Wolf alleged Disney breached its fiduciary duty to Wolf by allegedly underreporting revenues it received in connection with the Roger Rabbit characters and failing to disclose the nature of its third-party agreements concerning the characters and the compensation received. (Id.) Wolf argued its contingent entitlement to future compensation in the form of a percentage of revenues from Disney's exploitation of the Roger Rabbit characters, together with Disney's exclusive control over the information pertaining to such revenues, necessarily creates a fiduciary relationship. (Id., at 29.) The Court found there was no fiduciary duty “[b]ecause a contingent entitlement to future compensation within the exclusive control of one party does not make that party a fiduciary in the absence of other indicia of a confidential relationship[.]” (Id., at 30.)

But Wolf conceded the complaint was devoid of allegations showing an agency, or joint venture fiduciary relationship. (Id.) Whereas here, Plaintiff argues he does allege an agency relationship or joint venture in the FAC. “An agent is one who represents another, called the principal, in dealing with third persons.” (City of Los Angeles v. Meyers Bros. Parking System, Inc. (1975) 54 Cal.App.3d 135, 138.) While Defendants argue the FAC does not describe an agency arrangement where one party is acting on another’s behalf, but rather an arms-length relationship where each party has particular responsibilities for servicing mutual customers. Defendants have failed to elaborate as to why this also cannot be an agency relationship.

Accordingly, the demurrer to the second cause of action is OVERRULED.

Fourth Cause of Action for Violation of California Uniform Trade Secrets Act

Civil Code section 3426.1 governs the authority to bring a claim for misappropriation of trade secrets. This section is part of the Uniform Trade Secrets Act (Civ. Code § 3426 et seq.) A trade secret means information including a formula, pattern, compilation, program, device, method, technique or process that derives independent economic value from not being generally known to the public or to other persons who can obtain economic value from its disclosure or use, and is maintained in secrecy. (Civ. Code § 3426.1, subd. (d)(1)(2).)

Here, the FAC identifies Plaintiff’s customer list, training materials, and business generation methodology as trade secret information. (FAC, ¶ 13.)

These allegations are insufficient to adequately identify the protectable trade secret information. In Synopsys, Inc. v. ATopTech, Inc. (N.D. Cal., Oct. 24, 2013, No. C 13-CV-02965 SC) 2013 WL 5770542, the court found that “vague references to an enormous array of potential sources do not suffice to survive” a motion to dismiss when the court cannot “determine where trade secret protection begins and ends as to any of this material.” (2013 WL 5770542, at *6.) Likewise, in Vendavo, Inc. v. Price f(x) AG (N.D. Cal., Mar. 23, 2018, No. 17-CV-06930-RS) 2018 WL 1456697, at *4, the court found the “conclusory and generalized allegations” to be insufficient when described “in broad, categorical terms, more descriptive of the types of information that generally may qualify as protectable trade secrets than as any kind of listing of particular trade secrets.” (2018 WL 1456697, at *4; but see Navigation Holdings, LLC v. Molavi (N.D. Cal. 2020) 445 F.Supp.3d 69, 77 [finding the plaintiffs' description of their client information sufficient when they thoroughly detailed who their clientele included, what information they maintain about their clientele, and the work put into assembling the clientele database].)

Based on the allegations, the Court cannot ascertain the exact nature of the purported trade secret information from these broad category descriptions.

The demurrer is SUSTAINED as to this cause of action with leave to amend

Fifth Cause of Action under Business and Professions Code section 17200

Defendants argue that there is no information regarding what act or omission is at issue.

To set forth a claim for a violation of Business and Professions Code section 17200 (“UCL”), Plaintiff must establish Defendant was engaged in an “unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising” and certain specific acts. (Bus. & Prof. Code, § 17200.)

Plaintiff’s FAC incorporates the allegations in paragraphs 1 through 40, and also alleges that Defendants' conduct during the twelve months preceding the filing of this complaint constitutes unfair competition and a violation of California Business and Professions Code section 17200 et. seq.

Plaintiff argues in opposition that specifically, this case involves a defendant who signed an NDA, who gained knowledge of confidential and proprietary information, who then used the information to compete with Plaintiff and divert Plaintiff's

customers to a third party.

The Court agrees that the cause of action is conclusory as no specific act has been identified. Although Plaintiff incorporates the allegations by reference, for clarity, Plaintiff should identify the specific acts it alleges violated the UCL in the operative pleading, so that Defendants may properly respond.

The demurrer to the fifth cause of action for Violation of Business and Professions Code section 17200 is SUSTAINED with leave to amend.

Sixth Cause of Action for Fraud

The elements of a cause of action for fraud are: (1) a misrepresentation; (2) knowledge of falsity; (3) intent to defraud or induce reliance; (4) actual reliance by the plaintiff; and (5) resulting damage. (Conroy v. Regents of University of California (2009) 45 Cal.4th 1244, 1255; Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 173; Civ. Code, § 1709.) Further, fraud, unlike most claims in tort, requires that each element must be pled with specificity. (Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 73.) That is, generally, "[i]n California, fraud must be pled specifically; general and conclusory allegations do not suffice." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.).

The FAC alleges that Defendants Flores and Juarez represented to Plaintiff that they would be bound by the terms of the Contract and not use Plaintiff's proprietary information for any purpose other than to evaluate a potential business relationship between Plaintiff and Defendant. The FAC alleges that Defendants further represented to Plaintiff that they would work together to increase Plaintiff's client base. Defendants further represented to Plaintiff that their relationship would be exclusive and that Defendants would not do business with any other entity. (FAC, ¶ 48.) The FAC also alleges that Juarez represented to Plaintiff that no clients would be moved to Shift4. (Id., ¶ 16.)

Defendants argue that not only does the Fifth Cause of Action fail to meet the particularity standard, but the substantive allegations refer only to a breach of the non-disclosure agreement; the FAC is completely devoid of allegations regarding factual representations. A statement that contractual obligations will be fulfilled or regarding future events does not constitute fraud as a matter of law. (Rheingans v. Smith (1911) 161 Cal. 362; Building Permit Consultants, Inc. v. Mazur (2004) 122 Cal.App.4th 1400; Yield Dynamics v. TEA Systems Corp. (2007) 154 Cal.App.4th 547 [as modified on denial of rehearing].)

In Opposition, Plaintiff contends that Defendants entered into agreements with Plaintiff, and each of these terms constitutes a written representation by Defendants. Not so. "'The mere failure to perform a promise made in good faith does not constitute fraud.'" (Building Permit Consultants Inc. v. Mazur (2004) 122 Cal.App.4th 1400, 1414.)

As to the remainder of the representations that were not the alleged breaches of contract, the Court agrees that the particularity requirement has not been satisfied. "This particularity requirement necessitates pleading facts which 'show how, when, where, to whom, and by what means the representations were tendered.' [Citation.]" (Lazar, supra, 12 Cal.4th at 645.) The FAC does not allege when, where, and to whom and by what means the representations were made.

Thus, the demurrer to the cause of action for fraud is SUSTAINED with leave to amend.

Motion
to Strike

Defendants also move to strike the
prayers for relief that seek (1) an order enjoining Defendants from engaging in any business related to Plaintiff’s business operation; (2) disgorgement; (3) double damages under California’s Uniform Trade Secrets Act (UTSA); and (4) punitive damages.

Injunctive Relief, Disgorgement,
and Double Damages

Because the Court has sustained the
demurrer to the causes of action under the UCL and UTSA, which provided support for the remedies of disgorgement of profits, injunctive relief, and double damages, the motion to strike these remedies is MOOT.

Punitive Damages

To support punitive damages, the complaint asserting one of
those causes of action must allege ultimate facts of the defendant's oppression, fraud, or malice.” (Cyrus v. Haveson (1976) 65 Cal.App.3d 306, 316-17.) For example, the complaint in Brousseau v. Jarrett, which the court held was “a patently insufficient statement of ‘oppression, fraud, or malice, express or implied’”, as it stated:

Defendant
engaged in the conduct described in the second count ‘intentionally, wilfully, fraudulently, and with a wanton, reckless disregard for the possible injuries [sic] consequences ... and as a result of ... said intentional, wilful, wanton, reckless, oppressive, and fraudulent conduct, plaintiff is entitled to exemplary damages. . . .

(Brousseau v. Jarrett (1977) 73 Cal.App.3d 864, 869
& 872.)

“Malice means conduct which is intended by the defendant to
cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.” (Civ. Code § 3294.) “Despicable conduct’ is conduct
which is so vile, base, contemptible, miserable, wretched or

loathsome that it would be looked down upon and despised by ordinary decent people.” (Mock v. Michigan Millers Mutual Ins. Co. (1992) 4 Cal.App.4th 306, 331.) “Pleading in the language of the statute is not objectionable when sufficient facts are alleged to support the allegation.” (Perkins v. Superior Court (1981) 117 Cal.App.3d 1, 6-7.)

Here, Plaintiff’s allegations do not rise to the level of malice. Essentially, Plaintiff alleges that Defendants redirected clients to Plaintiff’s competitor despite written and oral representations that they would work exclusively with Plaintiff. Plaintiff has not alleged that Defendants intended to cause injury to Plaintiffs by doing the acts complained of. Nor has Plaintiff alleged any despicable conduct.

Further, the demurrer to the fraud cause of action is sustained, so fraud cannot be the basis for the punitive damages at this time.

Thus, the motion to strike punitive damages is GRANTED with leave to amend.

CONCLUSION:

Accordingly, Defendants’ demurrer to the FAC is OVERRULED in part and SUSTAINED in part with 20 days leave to amend. It is overruled as to the second cause of action for breach of fiduciary duty and sustained as to the third, fifth, and sixth causes of action for Violation of California Uniform Trade Secrets Act, Business and Professions Code section 17200, and fraud.

Defendants’ motion to strike is GRANTED in part with 20 days leave to amend and DENIED as MOOT in part. The motion to strike the prayer for punitive damages is granted with 20 days leave to amend. The motion to strike is otherwise moot.

Moving Party to give notice.

IT IS SO ORDERED.

Dated: July 29, 2026 ___________________________________

Rolf M. Treu

Judge of the Superior Court

Any party¿may submit on the tentative ruling by
contacting the courtroom via email at ¿by no later than¿4:00 p.m. the day before the hearing. All interested parties must be copied on the email. It should be noted that if you submit on a tentative ruling the court will still conduct a hearing if any party appears. By submitting on the tentative you have, in essence, waived your right to be present at the hearing, and you should be aware that the court may not adopt the tentative, and may issue an order which modifies the tentative ruling in whole or in part.